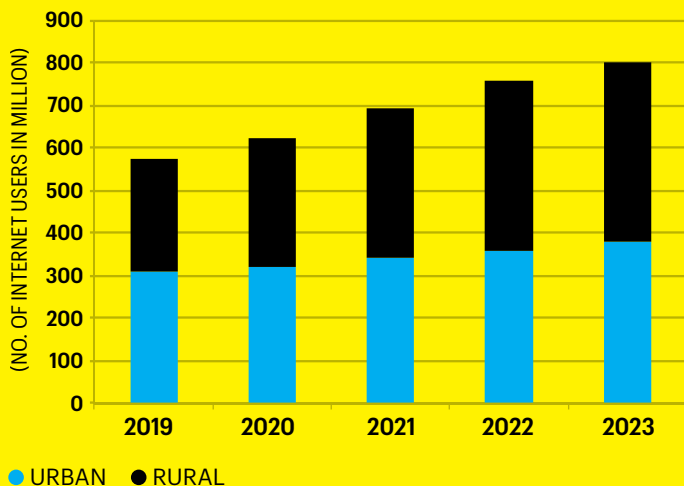
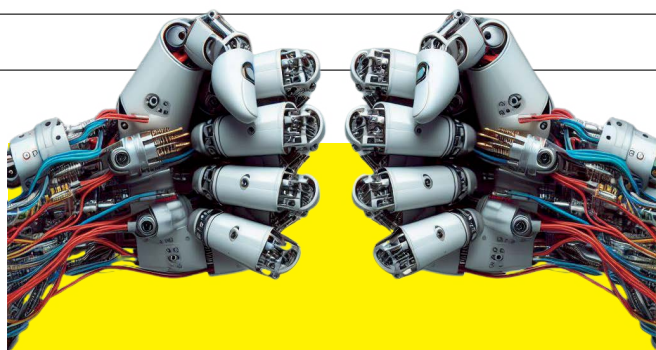


INDIA'S INTERNET USAGE

- Internet users in India have crossed 800 million
- Nearly 90% of the users use the internet daily



SOURCE 'INTERNET IN INDIA 2023' REPORT BY IAMAI AND KANTAR



WHAT'S AT STAKE

Since the draft Digital Competition Bill was introduced, questions have arisen about the efficacy of such a law, and *ex ante* provisions

In consultations with the committee, firms, including Amazon, Apple, Meta, Uber, Flipkart and Google, have said they are not in favour of *ex ante* regulations

around data usage and privacy are already there in the Digital Personal Data Protection Act, 2023. There are also concerns about how the CCI, with already stretched resources and staff, will enforce the proposed provisions of the DCB.

Besides these, industry has also red flagged several provisions in the DCB. These include the proposed thresholds, which are seen to be low and could include a vast number of firms, including non-tech ones with a digital presence.

The draft bill has prescribed financial and user thresholds for the past three financial years that would be used to identify enterprises engaged in CDS that would be considered as systemically significant digital enterprises (SSDE).

THE WAY AHEAD

Saksham Malik, Senior Programme Manager at public policy think tank

The Dialogue, says there might be a need to customise the scope of CDS and the quantitative thresholds for designation of SSDEs in the law. "While the list of CDS includes various services that have not observed any structural competition bottlenecks, the numbers provided under quantitative thresholds are too low. Both aspects can likely lead to the

law covering a significantly large part of the technology industry without sufficient need," he says.

A report by IndusLaw also highlights that the DCB empowers the CCI to demarcate any enterprise as an SSDE even if it doesn't meet any of the thresholds, if the watchdog believes that such an enterprise has a significant presence in



"All these new digital markets primarily are 'winner-takes-all' kind of markets. It ends up getting one large player in that particular space, which kind of rules the roost"

ANSHUMAN SAKLE
PARTNER, KHAITAN & CO.